rate, and removing the variations in the rates of the Bombay, Calcutta, and Madras markets, thereby giving some elasticity to the credit system. The indigenous bankers were compelled to lower their rates for discounting *hundis*, because the Imperial Bank discounted them at lower rates. They did this even in some areas in which the bank had no branches, owing to the fear that the bank might be induced to open branches there.[29] Further, the competition of the Imperial Bank compelled other joint-stock banks also to reduce their rates not only in places where the Imperial Bank had branches, but in others also, owing to their fear that the bank might establish branches there. Moreover, the facilities given by the bank for the transfer of funds between its LHOs and branches at very low charges proved beneficial to the public, and they were extensively used by the latter, although there was a decrease in their use from 1926.[30]

The bank also discounted bills endorsed by approved indigenous bankers within limits fixed for each banker. It also built up close relations with the provincial co-operative banks of different provinces, and allowed them overdrafts. It was, however, too much to expect the bank to function fully as a true bankers' bank, because it was a competitor of the other banks in different classes of business. Moreover, the bank was not bound by the Imperial Bank Act of 1920 to make advances to the other banks against government or other securities.[31]

The competition of the Imperial Bank with the other banks was often exaggerated. In nearly one-half of the places where the Imperial Bank had branches, there were no branches of other banks. Therefore, the question of competition arose only in places in which other banks had branches. A lowering of the rates of interest in these places showed that the joint-stock banks had lost their semi-monopoly, with corresponding benefits to the business community. A grievance of the Indian banks was that the bank gave loans at uneconomically low rates and yet had the highest rate of gross profits because it had the use of enormous government funds free of interest. But this benefit was largely offset by the special restrictions that were imposed on its working and by its increased expenditure connected with its free services to government. Moreover, the proportion of its public to private deposits never exceeded one-sixth. A more balanced assessment would be that the higher rate of gross profits of the Imperial Bank was largely due to its ability to attract deposits at lower rates on account of the